

What are reserves ?

3.1 Reserve Assets (reserve_assets_monthly_cbsl.csv)

Column	Definition	Unit
gross_reserves_usd_m	Total official reserve assets	USD mn
fx_reserves_usd_m	Foreign currency reserves	USD mn
imf_position_usd_m	Reserve position in IMF	USD mn
sdrs_usd_m	Special Drawing Rights	USD mn
gold_usd_m	Monetary gold holdings	USD mn
other_reserves_usd_m	Other reserve assets	USD mn

Reserves often called official reserves or foreign exchange reserves means foreign-currency assets held by the Central Bank.

Reserves are made of :

1. Gold - least liquidity, physical
2. Assets in foreign currencies in the form of :
 - a. Documents / Instrument types customarily employed for the international transfer of funds :
 - i. Bank drafts / cashier checks
 - ii. Bills of exchange
 - iii. Letters of Credit
 - iv. IOUs / SWIFT payment claims
 - v. Bankers acceptances / trade bills / documentary credits
 - b. Demand & time deposits abroad - foreign bank accounts
 - c. Securities of foreign governments - US Treasuries, German Bunds etc.
 - d. Foreign Notes & Coins
3. Special Drawing Rights in The IMF - IMF currency
4. IMF Position - membership deposit at the IMF that can be withdrawn
5. Other reserve assets - Derivatives / Asian Clearing Union Balances

How are reserves generated ?

3.2 External Debt (external_debt_usd_quarterly.csv)

Column	Definition	Unit
govt_total_usd_m	Total government external debt	USD mn
govt_short_term_usd_m	Government ST external debt (GG denom.)	USD mn
govt_long_term_usd_m	Government LT external debt	USD mn
central_bank_usd_m	Central bank external debt	USD mn
total_short_term_usd_m	Combined ST external debt	USD mn

3.3 Trade & External Flows

Column	Definition	Unit
imports_usd_m	Monthly merchandise imports (CIF)	USD mn
exports_usd_m	Monthly merchandise exports (FOB)	USD mn
tourism_earnings_usd_m	Monthly tourism receipts	USD mn
remittances_usd_m	Workers remittance inflows	USD mn
cse_net_usd_m	Net CSE portfolio flows	USD mn

Reserves come from Balance Of Payments (BoP) :

1. Export earnings (Current Account surplus) : Trade Balance (Exports - Imports) + Net Primary Income + Net Secondary Income
 2. Worker Remittances (Remittances can enter either through formal banking channels such as SWIFT / Money Transfers / Commercial Banks) or Informal Channels (hawala / Undiyal) :
 - a. Low Skilled Gulf Workers
 - b. Semi Skilled Migrants
 - c. High Skilled Diaspora
 3. Capital Inflows
 - a. Foreign Portfolio Investment - hot money where foreigners buy Sri Lankan government bonds / equities (securities)
 - b. Foreign Direct Investment - Port City
 - c. External Borrowing :
 - i. Sovereign Bonds (ISBs)
 - ii. Bilateral Loans (China, Japan, India)
 - iii. Multilateral Loans (IMF, ADB, World Bank)
 - iv. Central Bank FX Market Intervention
- Net Secondary Income includes worker remittances
 - Imports include CIF (Cost, Insurance & Freight - this means shipping costs included) while exports are FOB (Free On Board - no shipping costs included)
 - Tourism earnings are a service export
 - Net CSE Portfolio flows tracks foreign investment in the Colombo Stock Exchange

What are monetary aggregates ?

3.4 Monetary Aggregates

Column	Definition	Unit
reserve_money_m0_lkr_m	Reserve money (M0)	LKR mn
broad_money_m2_lkr_m	Broad money (M2) - for ARA calc	LKR mn
money_multiplier_m1	M1 money multiplier	Ratio

Monetary aggregates track the supply of money circulating in the economy. Reserve money (m0) is the base from which all other money is created. It is the Monetary Base. This is the physical currency in circulation plus commercial bank deposits held at the Central Bank.

Broad Money (M2) is a wider measure of the entire money supply. It includes M0 (cash) + checking deposits + savings deposits + time deposits (CDs).

Money Multiplier (M1) is a ratio showing how much the money supply expands for every 1 unit of Reserve Money (M0) created. This is because through interest rates, the Central Bank can expand the money supply for every 1 unit of rupee they print.

$$M1 = M2 / M0.$$

A high multiplier (M1) ratio and a fixed exchange rate usually leads to a crisis. A high multiplier is only good in mature economies, not emerging markets.

What are Net Foreign Assets ?

3.5 Net Foreign Assets

Column	Definition	Unit
nfa_monetary_auth_lkr_b	NFA of Monetary Authorities (CBSL)	LKR bn
nfa_comm_banks_total_lkr_b	NFA of Commercial Banks (Total)	LKR bn
nfa_comm_banks_dbu_lkr_b	NFA of Commercial Banks (DBUs)	LKR bn
nfa_comm_banks_obu_lkr_b	NFA of Commercial Banks (OBUs)	LKR bn

NFA = Foreign Assets - Foreign Liabilities. Negative NFA indicates liabilities exceed assets.

Net Foreign Assets (NFA) measures the net position of the country's banking system with the rest of the world.

NFA of Monetary Authorities (CBSL) correlates to the country's official foreign reserves but minus liabilities like IMF loans.

NFA of Commercial Banks (Total) is the combined net foreign assets of all private and state commercial banks.

NFA of Commercial Banks (Domestic Banking Units, DBUs) are the standard banking units that handle transactions in local currency and foreign currency for residents.

NFA of Commercial Banks (Offshore Banking Units, OBUs) are specialized units that handle foreign currency transactions.

The reason that we consider Net Foreign Assets is because gross official reserves can be misleading. Net Foreign Assets considers foreign liabilities which are subtracted from our foreign assets.

When Sri Lanka activated a \$1.5 billion swap line with the People's Bank of China, gross reserves stayed elevated while NFA declined by that amount. The swap was borrowed money, not genuine reserves.

A critical signal from the Sri Lankan crisis: NFA of Monetary Authorities turned negative in August 2021, eight months before default. This meant the CBSL's foreign liabilities exceeded its foreign assets. The institution meant to defend the currency had, on a net basis, nothing to defend it with.